



Professional Practices

“THE STRUCTURE OF ORGANIZATIONS”

Organization:

- ▶ *“An organized group of people with a particular purpose, such as a business or government department”*
- ▶ It is impossible to live in a civilized society without close contact with many large organizations such as
 - Schools
 - Universities
 - Government departments
 - Health service

Legal Form of Organization

- ▶ Law recognizes Individual:

enter into the contracts which can be enforced by the courts

– Sued for damages

– Give evidences

- ▶ Incorporation:

Organization should be given a legal existence through a legal process know as incorporation. (Inc)

Legal forms of Organization

- ▶ After adopting any specific legal configuration organizations take different legal forms.

Four basic legal forms of organization are

- ▶ **Sole Proprietorship(sole trader);**
- ▶ **Partnerships;**
- ▶ **Corporations and
Limited Liability Company**

Sole Proprietorship

- ▶ The vast majority of small businesses start out as sole proprietorships.
- ▶ – These firms are owned by one person, usually the individual who has day-to-day responsibility for running the business.
- ▶ – Sole proprietorships own all the assets of the business and the profits generated by it.
- ▶ – They also assume complete responsibility for any of its liabilities or debts.

Sole trader

- ▶ For example:

- ▶ Local shop , Plumber etc

Partnerships

- ▶ In a Partnership, two or more people share ownership of a single business.
- ▶ The Partners should have a legal agreement that sets forth how decisions will be made, profits will be shared, disputes will be resolved, how future partners will be admitted to the partnership or what steps will be taken to dissolve the partnership when needed.
- ▶ They also must decide **up front** how much time and capital each will contribute, etc.

Partnership

► For example:

Doctors, lawyers etc

Corporations

- ▶ **Corporation.** Definition: A form of **business** operation that declares the **business** as a separate, legal entity guided by a group of officers known as the board of directors.
- ▶ The owners of a corporation are shareholders; their percentage of ownership in the business is represented by their corporate stocks or shares.
- ▶ **Separate legal entity** – Independent from its owners and considered a legal entity that may conduct business, own properties, enter into binding contracts, borrow money, sue and be sued, and pay taxes.
- ▶ One common action of a corporation is the selling of its ownership in the form of stocks. Selling stock in a corporation is a great way to raise capital
- ▶ Investors or owners may not directly handle day-to-day business operations. They vote for the Board of Directors who eventually hire a professional management team.

Examples:

- ▶ Apple Inc
 - ▶ Microsoft
 - ▶ Unilever
 - ▶ Proctor & Gamble
 - ▶ Nestle
 - ▶ Suzuki
 - ▶ Engro Corporation
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- ▶ Interestingly, all corporations are considered companies, even though not every company is considered a corporation.

Company VS Corporation

- ▶ corporations are **usually owned** by multiple people and the ability to exchange ownership is easy, while companies **can be** owned by one individual and ease of transferring ownership depends on the business structure.
- ▶ companies are typically smaller than corporations. There is also a difference in capital requirements to form a company and to form a corporation.

Limited Liability Company (LLC)

The LLC is a relatively new type of hybrid business structure.

It is designed to provide limited liability features of a corporation and the tax efficiencies and operational flexibility of a partnership

Limited liability is where a person's financial liability is limited to a fixed sum, most commonly the value of a person's investment in a company or partnership. If a company with limited liability is sued, then the claimants are suing the company, not its owners or investors.

LLC can get a tax identification number, open a bank account and **do business**, all under its own name.

- ▶ Tax Advantages of an LLC. ...
- ▶ Ownership Flexibility. ...
- ▶ Management Flexibility. ...
- ▶ Flexible Profit Distributions.

LLC

- ▶ The **Pakistan Limited Liability Company** (Private **company** or Pvt **Ltd**) **Pakistan** LLCs, also referred as private **companies** (Pvt. **Ltd.**), can be registered with only i) two directors ii) two shareholders and a minimum capital requirement of US\$1,000.